Costco ($COST): The Case for a Levered Recapitalization

Capital Structure Optimization Analysis

| April 2026

Part I — Company Overview

Costco at a Glance

$270B+

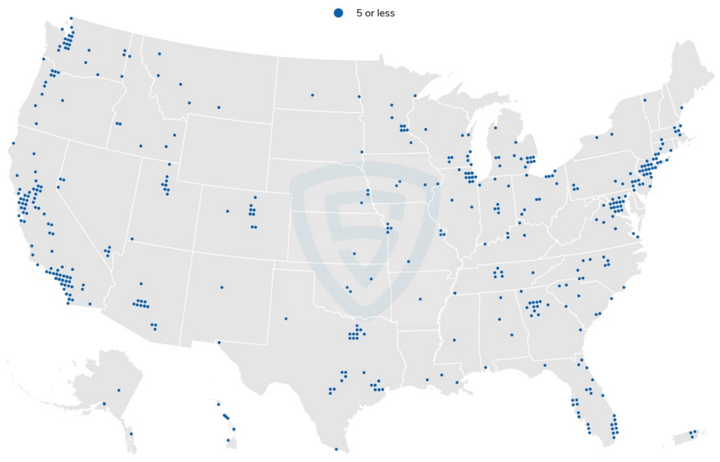
Annual Revenue

~93%

Membership Renewal Rate –
Guaranteed Revenue

A+

Credit Rating



Costco store locations in the USA
Each grid point covers 10-mile radius with at least one location
Source: ScrapeHero.com
ScrapeHero

How Costco Wins

Business Model

- Membership Model
  - Removes Cyclicality of Revenue

- Margins
  - National Brands: 14%
  - Private Label: 15%
    - Able to undercut competitors

Consistent Cash Flow, Exceptional Coverage

Income

$270B+

Revenue

Margin ~4.5%

EBITDA

Income ~$8.1B

Net

Balance Sheet

$15.3B

Cash

Debt ~$7B

Total

Cash Position ~$8.3B

Net

Coverage

67x

TIE

21.8%

Cash/Assets

5.7%

Cash/Sales

Part II — Capital Structure Analysis

Costco Is the Outlier

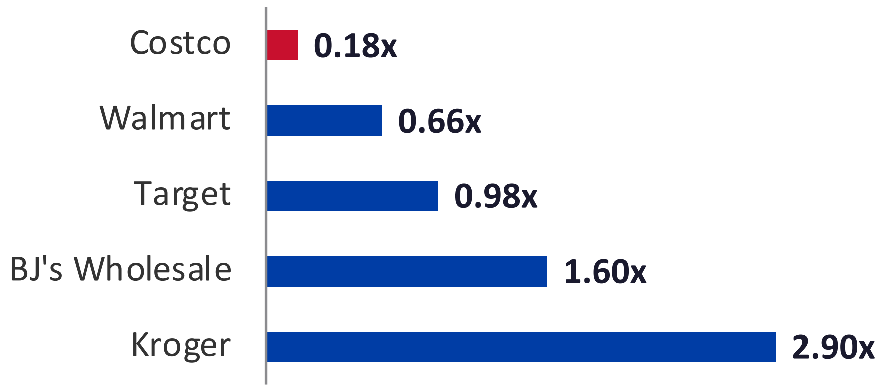
Structure Overview

- Finances almost entirely using equity
- Net cash position of roughly $8B
- 30+ years of growing Free Cash Flow
- No Off-Balance Sheet Financing
- Low Annual Tax Volatility
- Costco Gets Paid First (Instant Payment to Net 30)

How Costco Stacks Up Across Every Metric

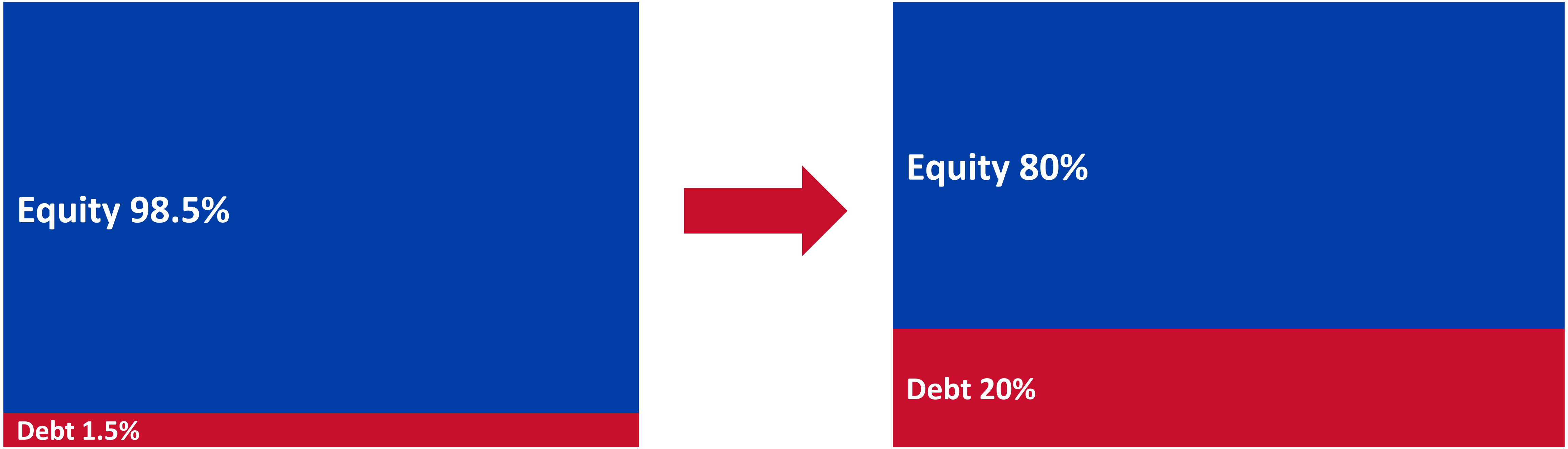
Company	D/E	TIE	Cost of Debt	Cash ($B)	Cash/Assets
Costco	**0.18x**	**67x**	**~3%**	**$15.3B**	**21.8%**
Walmart	0.66x	11.7x	~3.8%	$9B	3%
Kroger	2.90x	7x	~4.2%	$3B	6%
BJ's Wholesale	1.60x	4.5x	~5.0%	$0.04B	1%
Target	0.98x	13.54x	6.6%	$4.76B	8%

Debt-to-Equity Ratio — Peer Comparison



The Cost of Being Underleveraged

Current Structure | **Post-Recap (80/20)**



WACC = 7.79%

WACC = ~6.7%

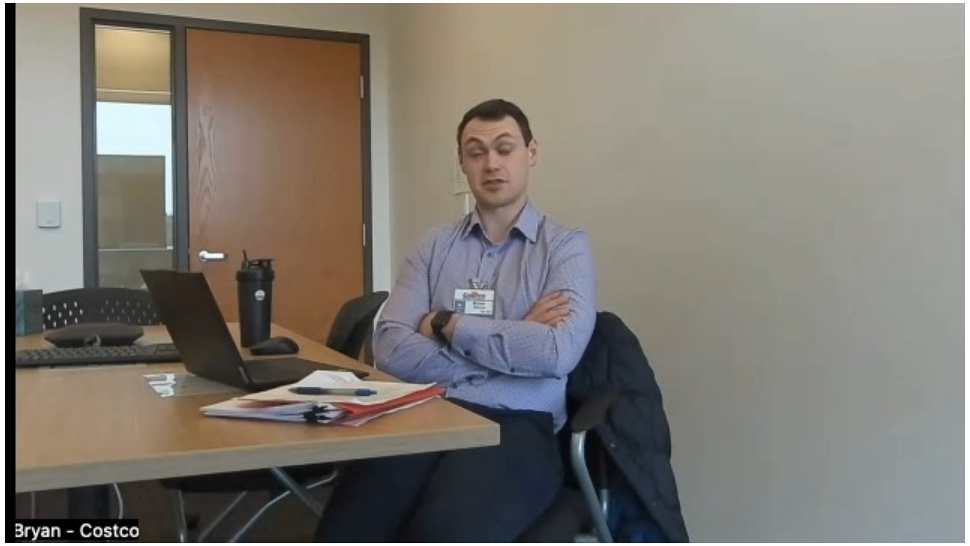
Part III — The Bear Case: Costco Should Not Take on Debt

The Role of Cash in Costco's Operating Model

Uses of Cash:

- Need cash in registers
- Costco prefers to fully own warehouse properties to allow for future expansion opportunities and management focus

"When opening new locations, how do you allocate funds, and why does Costco not historically use debt financing?"



Stakeholder Interests in Debt

Management

- Current management has no direct incentive to reimagine Costco’s long-standing capital structure
- Risk of upsetting stockholders from change

Stockholders

$COST has stable, impressive growth compared to the S&P 500

- **YTD** - $COST: +15.95%   S&P 500: +3.90%
- **5Y** - $COST: +169.72%   S&P 500: +70.47%

No immediate demand for fueling company growth via leveraged recap

The Bottom Line: Clear presence of information asymmetry.

Part IV — The Bull Case: Costco Should Take on Debt

Costco Fit for a Levered Recap

Factors

- Membership-based recurring revenue
- High renewal rates
- Defensive consumer demand
- Stable cash flow profile
- Mature, low reinvestment needs

Debt Capacity

- Low leverage vs Walmart (.18x vs .66x)
- Low leverage vs Target (.18x vs .98x)
- Low earnings volatility
- Strong credit profile
- Excess debt capacity
- Suboptimal capital structure

$15B in Cash Is Not Free

The Problem

- Cash balance: ~$15B
- Cash yield: ~4.5–5.0%
- Equity cost of capital: ~7.5–8.0%
- Opportunity spread: ~2.5–3.0%
- Annual value drag: ~$375M–$450M

The Solution

- Return excess cash via leveraged buybacks or special dividend
- Eliminate the return gap between cash yields and cost of equity
- Redeploy capital at equity-implied returns rather than risk-free rates

Home Depot Case

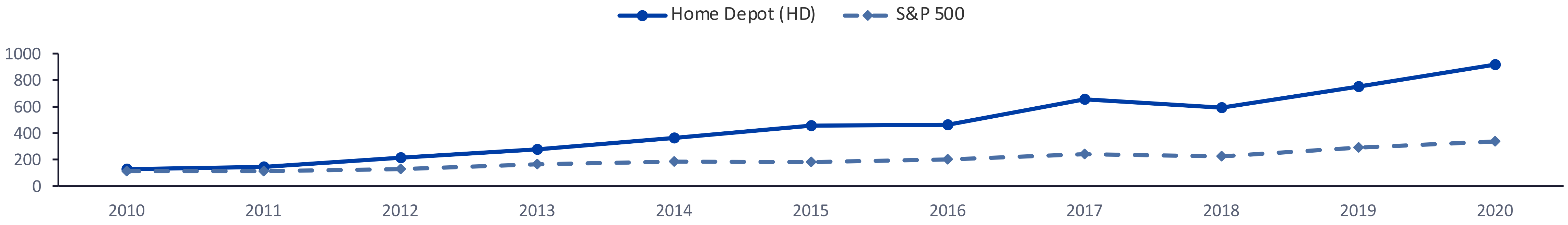
Similarities

- Mature, cash-generative retail model
- Stable demand (home improvement essentials)
- Strong, predictable free cash flow
- Limited reinvestment intensity vs high-growth firms
- Low-to-moderate leverage capacity pre-recap
- Excess cash generation + capital return focus
- Similar profile to Costco (stable + defensive + recurring cash flows)

Outcome

- ~300% – 500% stock appreciation (2010–2020 period)
- ~2–3x S&P 500 outperformance over cycle
- EPS expansion ~3–4x (share count reduction driven)
- Significant buyback activity funded partly with debt
- $100B+ capital returned via buybacks + dividends
- ROE expansion from lower equity base
- Higher valuation multiple + sustained equity re-rating

HD vs S&P 500 | Indexed to 100 (Jan 2010)



Part V — Final Recommendation

The Government Subsidizes Leverage

PV(Tax Shield) = Debt × Tax Rate

Conservative

$5B × 25% = $1.25B

in value created

Base Case

$12B × 25% = $3.0B

in value created

Aggressive

$20B × 25% = $5.0B

in value created

Three Paths Forward

Our Recommendation

Scenario	Conservative	Base Case	Aggressive
New Debt Issued	**$5B**	$12B	$20B
New D/E Ratio	**~0.35x**	~0.65x	~1.10x
PV of Tax Shield	**$1.25B**	$3.0B	$5.0B
Est. EPS Dilution (Cumul.)	**~-1.5%**	~-3.5%	~-6.0%
Interest Coverage Ratio	**~55x**	~35x	~20x

Benefits of a $5B Levered Recap

Tax Shield Value Creation +$1.25B PV

$69M annual interest tax deduction creates $1.25B in present value — permanent firm value added at zero equity cost

Enhanced Return on Equity ROE expansion

Replacing equity with cheaper after-tax debt ($5B at 4.1% after-tax vs. ~1.8% earnings yield) amplifies returns to remaining shareholders

Strong Market Signal Confidence signal

Levered buyback signals management confidence that the stock is undervalued and cash flows are robust enough to service $275M annual interest

Optimal Capital Structure 0.5x Debt/EBITDA

Costco's near-zero leverage is inefficient — $5B in debt at 5.5% brings Debt/EBITDA to just ~0.5x, well within investment-grade comfort

Per-Share Value Accretion 5.0M shares retired

5.0M shares retired concentrate ownership — each remaining share commands a larger slice of Costco's $8.1B net income and $6.25B+ FCF

Preserves Operational Flexibility 1.1% of market cap

$5B is modest relative to $444B market cap (1.1%) — leaves ample capacity for M&A, store expansion, and special dividends

Analysis

Levered Recapitalization Analysis | 5 × $5B Buyback Rounds | $25B Total

Total Debt Raised	Annual Tax Shield	Shares Retired
$25B	**$344M/yr**	**25.0M**
5 × $5B rounds	PV of shield: $6.25B	of 443.87M outstanding

Round-by-Round EPS & Tax Shield Impact

Rnd	Debt Added	NI After ($M)	Shares (M)	EPS After	Tax Shield/yr	EPS Δ	Cumul. Δ
1	$5B	$7893	438.87	$17.98	$69M	-1.436%	-1.46%
2	$10B	$7687	433.87	$17.72	$138M	-1.491%	-2.93%
3	$15B	$7480	428.87	$17.44	$206M	-1.549%	-4.43%
4	$20B	$7274	423.87	$17.16	$275M	-1.610%	-5.97%
5	$25B	$7068	418.87	$16.87	$344M	-1.676%	-7.54%

Assumptions: 5.5% interest rate | 25% tax rate | $1,000 share price | After-tax cost of debt: 4.125%

Interest Expense = $5B x 4.125% = $206M

Tax Shield

$206M x 25% = $51.5M

Cost: $206M - $51.5M = $154.5M

Earning Saved From Buyback

$5M × 18.25 = $91M

Saved from Buyback

Losing

-$154.5M + 91M = -$63.5M

in value created

EPS ↓ from $18.25 -> $17.98

Analysis

Levered Recapitalization Analysis | $5B Buyback Rounds

Multiple	Tax Shield Value Per Share	EPS Dilution
55x	**+$2.8/share** 1.25B total	**-$15/share** -$0.27 EPS Drop

Total = -$12.2 stock price drop

Levered Recapitalization Analysis w/ multiple drop | $5B Buyback Rounds

Multiple	Tax Shield Value Per Share	EPS Dilution
50x	**+$2.8/share** 1.25B total	**-$105/share** -$0.27 EPS Drop

Total = -$102.2 stock price drop

EPS Impact: 1x $5B Recap vs. Full 5-Round ($25B) Recap

1x $5B Levered Recap

Base NI	$8.099B
Interest expense	−$275M
Tax deduction	+$69M
After-tax NI cost	−$206M
Shares retired	5.0M
NI freed by shares	+$91M
Net NI impact	**−$115M**

EPS: $18.25 → $17.99 (−0.26 | −1.43%)

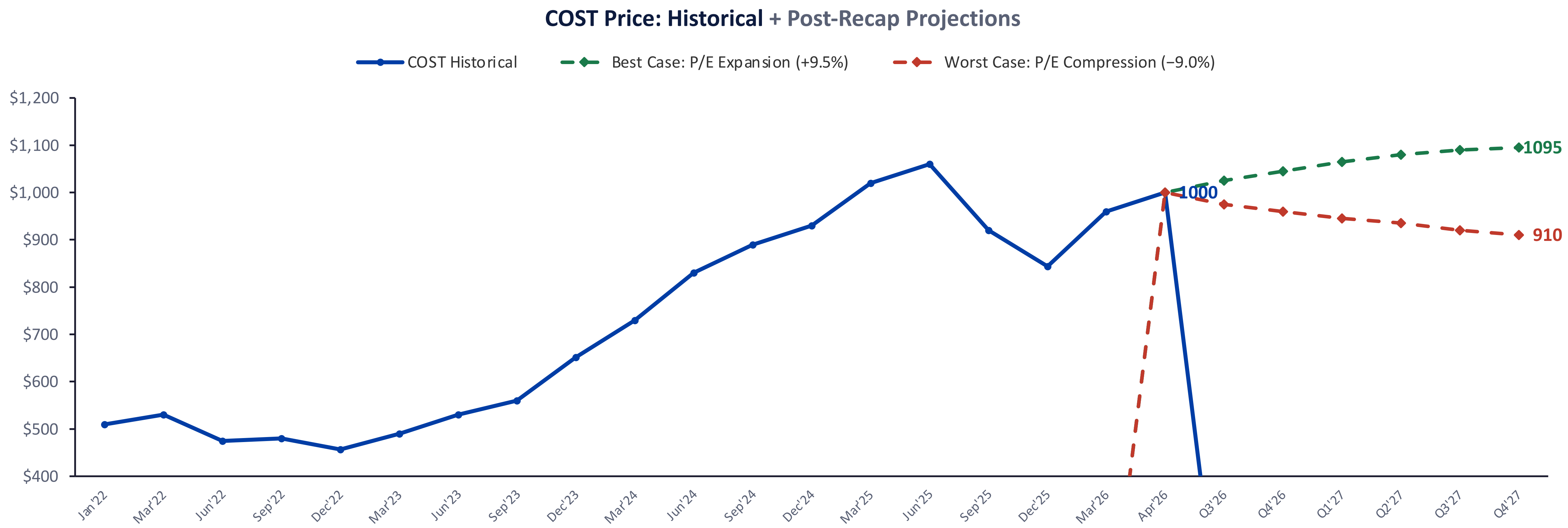
Full 5-Round ($25B) Levered Recap

Total new debt	$25.00B
Interest expense ($25B × 5.5%)	−$1.375B
Tax deduction (25%)	**+$344M**
After-tax NI cost	**−$1.031B**
Shares retired: 25.0M (× $1,000)	
NI freed by shares	**+$456M**
Net NI impact	**−$575M**

EPS: $18.25 → $16.88 (−1.37 | −7.51%)

Key takeaway: A single $5B round is mildly dilutive (−1.43% EPS). The full 5-round program amplifies to −7.51% cumulative EPS dilution, but generates **$6.25B of firm value** via the tax shield.

Stock Price Scenarios: $5B Levered Recap



Best Case: $1,095 (+9.5%)

P/E expands 54.8x → 60x | Market rewards leverage + buyback signal
Tax shield PV +$1.25B | ROE expansion | Capital efficiency

Worst Case: $910 (−9.0%)

P/E compresses 54.8x → 50x | Market punishes EPS dilution
EPS: $18.25 → $18.20 (−0.3%) | Leverage risk premium | Rating concern

Conclusion

Our Recommendation If a Recap is Pursued: $5B Partial Levered Recap

A $5B debt issuance directed to share repurchases creates **+$1.25B in tax shield value**, retires 5.0M shares, and brings leverage to a conservative ~0.5x Debt/EBITDA — well within investment-grade comfort and peer norms.

Management Would Likely Not Pursue This

Costco's leadership has historically prioritized a fortress balance sheet and operational simplicity. A levered recap contradicts the conservative financial philosophy that has defined the company for decades. Management views near-zero debt as a **strategic asset**, not an inefficiency — and the membership-driven model's stability makes leverage less necessary than at typical retailers.

Potential Harm That Must Be Factored In

EPS dilution is real: net income falls **–$115M** per round because the after-tax interest cost ($206M) exceeds freed NI from retired shares ($91M). At a constant P/E, the stock could trade **down to ~$910 (–9%)** if the market compresses the multiple on leverage concerns. Credit rating risk, reduced financial flexibility in a downturn, and investor perception of deviation from a proven strategy are all legitimate costs.

The math supports a $5B recap. The culture likely prevents it. If management were to act, the downside risks — particularly near-term EPS dilution and multiple compression — must be weighed carefully against the long-term value creation.